

AP

A TOUGH JOB Ranil Wickremesinghe was brought in as PM by Gotabaya Rajapaksa in May. By then, the country was already bankrupt

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politician and lawmaker of the SLPP, Dullas Alahapperuma, too has said he wants to contest. Parties have discussed a possible consensus where a member of the SLPP takes over as president and Premadasa becomes PM, so that a common programme to stabilise the economy can be put in place.

A SHATTERED ECONOMY, AND THE ONLY WAY OUT

While the political challenges facing the country seem challenging, it is the economy that has been left in tatters by the Gotabaya regime. The Central Bank of Sri Lanka has warned that continuing political instability will plunge the country into a worse state and underscored the need to continue the talks that have started with the IMF to restructure the country's massive debt. The country has seen a dismal drop in its foreign reserves since the pandemic, worsened by the economic crisis. By mid-May, reserves stood at US $1.9 billion, but this includes a swap facility from the People's Bank of China equivalent to about $1.5 billion, and hence usable reserves are negligible.

Through all this, the daily misery of people drags on—prices of fuel and essential commodities have continued to soar, with the Sri Lankan rupee recording a depreciation of 44.3 per cent against the US dollar up to mid-May this year. The dollar was trading at around Rs. 360 by mid-July, thus pushing the cost of imports higher, particularly of fuel. The country's monthly fuel bill at around US $500 million is largely funded by a credit line of US $1 billion extended by India, which has also paid for food, medicines and other essential items. Coupled with the exorbitant prices are shortages, with long queues of people waiting to get fuel and gas an everyday sight across the country. These scenes flashed across the world have hit the country's vital tourism sector, with several countries, including the UK and New Zealand, telling its citizens to avoid non-essential travel to Sri Lanka. Sri Lanka, which earned around US $4 billion from tourism in pre-pandemic 2019, is projected to see its revenue drop to around $800 million this year. The sector provides direct and indirect employment to around 5,00,000 people and they are among the worst hit by the economic crash.

The only available option for Sri Lanka is to urgently get a bailout from the IMF to steady the economy which would facilitate bridging finance agreements with the World Bank and the Asian Development Bank (ADB). Sri Lanka is seeking to borrow around $3 billion through the IMF's Extended Fund Facility (EFF) before the end of the year and any new government will have to ensure that the process that has been set in motion is continued. Wickremesinghe told parliament in June that as Sri Lanka has defaulted on its debt repayment in May, the first time in the country's history, negotiations with the IMF are more complex than in the past. Putting the country back on a firm footing is an uphill task for anyone who takes over the government, given the state of ruin the Rajapaksa family has left it in. Sri Lankans face years of struggle before the country's economy is restored to what it was before 2019. ■